



## 1. Company Overview, Business Model, and Competition

Uber Technologies is a global technology company that connects customers with transportation and delivery services. Its business is mainly divided into three areas: Mobility, which includes ride-hailing; Delivery, which includes Uber Eats, grocery, and retail delivery; and Freight, which connects businesses with trucking companies. Uber does not own most of the vehicles used on its platform. Instead, it provides the technology that connects customers with drivers and earns a portion of each transaction.

One of Uber's biggest advantages is the size of its network. More riders attract more drivers, while having more drivers makes the platform more convenient for riders. Uber can also use the same customer base across several different services. For example, someone who already uses Uber for rides can easily begin using Uber Eats. Uber One strengthens this advantage by encouraging customers to use multiple Uber services more often. In Q1 2026, Uber reached 50 million Uber One members, who accounted for about half of Gross Bookings across Mobility and Delivery.

Uber's main competitors include Lyft in ride-hailing and DoorDash in delivery. Lyft competes directly with Uber, especially in the U.S., but Uber has a much larger international presence and also benefits from having Uber Eats on the same platform. DoorDash is a major competitor in food delivery, but it does not have Uber's large ride-hailing business. Because of this, Uber has a more diversified business than either competitor.

Autonomous vehicles are another major source of competition. Companies such as Waymo could eventually reduce the need for traditional Uber drivers. Instead of trying to develop all of this technology itself, Uber has chosen to partner with several autonomous vehicle companies. Its goal is to remain the platform customers use to access transportation, whether the vehicle has a driver or is fully autonomous.

## 2. Trailing-Twelve-Month Financial Performance

Uber's financial performance has improved significantly over the past few years. The company was previously focused heavily on growth while losing money, but it is now showing that it can continue growing while also producing strong profits and cash flow.

For 2025, Uber generated \$193.5 billion in Gross Bookings, an increase of 19%, while revenue increased 18% to \$52.0 billion. Adjusted EBITDA increased 35% to \$8.7 billion, and free cash flow increased 42% to \$9.8 billion. These numbers show that Uber's profitability and cash generation are growing faster than the overall business.

That growth continued during the first half of 2026. Q1 Gross Bookings increased 25% to \$53.7 billion, while Adjusted EBITDA increased 33% to about \$2.5 billion. In Q2, Gross Bookings increased another 24% to a record \$58.0 billion, while Adjusted EBITDA increased 33% to \$2.8 billion. Uber also reported that trailing-twelve-month free cash flow exceeded \$10 billion for the first time in company history.

One of the most encouraging parts of Uber's results is that profits are increasing faster than the overall business. In Q2, for example, Gross Bookings increased 24% while Adjusted EBITDA increased 33%. This suggests that Uber is becoming more efficient as it grows. Once Uber has established its technology and network in a market, additional rides and deliveries can increase profits without requiring costs to increase at the same rate.

## 3. Most Recent Developments

One of Uber's biggest recent developments is its expansion into autonomous vehicles. In September 2026, Uber and Wayve launched supervised autonomous rides in London. Riders can now be matched with Wayve autonomous vehicles through the regular Uber app, although a licensed driver is still present to supervise the vehicle.

Uber is also working with Lucid and Nuro on a robotaxi service. The companies plan to launch in the San Francisco Bay Area later in 2026 and then expand to Houston in 2027. The partnership eventually calls for at least 35,000 vehicles across multiple markets.

Uber's strategy is important because it allows the company to participate in autonomous vehicles without having to develop all of the technology itself. AV companies still need customers, and Uber already has a large worldwide customer base. If customers continue using Uber as the platform through which they access autonomous vehicles, Uber could benefit from the growth of the technology instead of being replaced by it.

The rest of Uber's business also continues to grow. In Q2 2026, total trips increased 18% from the previous year to nearly 3.9 billion. Gross Bookings also reached a record \$58.0 billion.

Autonomous vehicles are still one of Uber's biggest risks. If companies such as Waymo successfully build their own ride-hailing networks, they could compete more directly with Uber.

However, if Uber can remain the platform customers use to access different types of transportation, autonomous vehicles could become another source of growth for the company.

#### 4. Stock Price and Valuation Analysis

As of October 2, 2026, Uber closed at \$68.11 per share, giving the company a market value of approximately \$139 billion. The stock is well below its 52-week high of about \$101, even though the company's financial performance has continued to improve.

There is a reasonable argument that Uber is currently undervalued. With more than \$10 billion in trailing free cash flow and a market value of roughly \$139 billion, Uber trades at about 14 times trailing free cash flow. That valuation looks fairly reasonable for a company that is still producing double-digit Gross Bookings growth and Adjusted EBITDA growth above 30%.

The decline in Uber's stock appears to show that investors are concerned about the company's future, particularly the impact of autonomous vehicles. If Uber successfully becomes one of the main platforms customers use to access self-driving vehicles, this concern could be overestimated. On the other hand, if autonomous vehicle companies build successful competing ride-hailing networks, Uber could lose some of the advantages it currently has.

The technical picture is weaker than the company's financial results. As of October 2, Uber was trading below its 50-day moving average of about \$73 and its 200-day moving average of about \$75. Its 14-day RSI was around 37, which suggests the stock has recently experienced significant selling pressure, although it is not technically oversold. The stock has recently found support around the \$67–68 range, while the \$73–75 range could act as resistance. A sustained move back above this range would be a more positive sign for the stock's longer-term trend.

Overall, I would give Uber a Buy recommendation at its current price. The company continues to grow its core businesses, while profits and free cash flow are increasing even faster. At around \$68 per share, the valuation is also much more attractive than it was when Uber traded above \$100. The biggest risk is autonomous vehicles, but Uber's partnerships with multiple AV companies give it a realistic opportunity to remain an important part of the transportation market as the technology develops. While the stock could remain under pressure in the short term, Uber's improving profitability, strong cash generation, and continued growth make the long-term risk-reward attractive at the current valuation.